



Qualification Programme Examination Panelist's Report

Module 6 – Financial Accounting (December 2021 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This section consisted of 15 multiple choice questions which tested the candidates' knowledge in relation to the following topics:

- Q1 HKICPA *Conceptual Framework for Financial Reporting 2018*
- Q2 HKAS 2 *Inventories*
- Q3 HKAS 16 *Property, Plant and Equipment*
- Q4 HKAS 38 *Intangible Assets*
- Q5 HKFRS 5 *Non-current Assets Held for Sale and Discontinued Operations*
- Q6 HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets*
- Q7 HKFRS 15 *Revenue from Contracts with Customers*
- Q8 HKAS 33 *Earnings per Share*
- Q9 HKAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors*
- Q10 HKFRS 5 *Non-current Assets Held for Sale and Discontinued Operations*
- Q11 HKAS 12 *Income Taxes*
- Q12 HKAS 23 *Borrowing Costs*
- Q13 HKFRS 13 *Fair Value Measurement*
- Q14 HKAS 36 *Impairment of Assets*
- Q15 HKFRS 16 *Leases*

Questions 1 to 10 (worth 1 mark each) covered simpler concepts / computations. Questions 11 to 15 (worth 2 marks each) covered more complicated concepts / computations.

The wide range of topics in the syllabus seems to be one of the difficulties for candidates. Candidates were weak in certain topics as they might not have adequate coverage of every topic in the syllabus when preparing for the examination.

Specific Comments

Candidates showed weaknesses in the following topics:

- HKICPA *Conceptual Framework for Financial Reporting 2018*
- HKFRS 5 *Non-current Assets Held for Sale and Discontinued Operations*
- HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets*
- HKAS 12 *Income Taxes*
- HKAS 36 *Impairment of Assets*

In particular, candidates were rather weak in answering conceptual questions as they might not have a thorough understanding about the details of the accounting standards. For example, in Q1, the question tested the candidates on the definitions of liability and income. Many candidates failed in getting the correct answer as they did not fully understand the key concepts in the definitions. In accordance with HKICPA *Conceptual Framework for Financial Reporting* 2018:

- A liability is defined as the **present obligation** of an entity to transfer an economic resource as a result of **past events**. It is clear in the *Conceptual Framework* that these past events are not necessarily contractual events as the obligation could be established without a contract but by legislation or even an entity's customary practices or published policies.
- Income is defined as increases in assets or decreases in liabilities that **result in increases in equity, other than those resulting from contributions from holders of equity claims (e.g., shareholders)** of an entity. It is clear in the *Conceptual Framework* that not all increases in equity are considered as income (e.g., capital investment by shareholders is not income).

Candidates should pay more attention to the details of the accounting standards and get a thorough understanding of the important concepts.

(II) Section B – Written Questions

General Comments

The questions in this section aimed to test the candidates on their knowledge and their ability to apply appropriate accounting treatments to specific financial reporting situations.

Candidates performed relatively better in the preparation of statement of cash flows for a single entity. However, they were rather weak in doing consolidation for a business group.

It appears that many candidates did not have a good understanding of the accounting standards and they had difficulties in applying relevant requirements to the context.

In general, performance in this section was unsatisfactory.



Specific Comments

Question 1(a) – 25 Marks

This question required candidates to prepare a consolidated statement of financial position and a consolidated statement of profit or loss, and other comprehensive income for a simple business group.

The performance was not satisfactory. Although it was a typical consolidation question (to consolidate a parent company and a subsidiary), candidates had difficulties in tackling the (1) consolidation adjustments for revaluation of net assets at acquisition date and the corresponding effects in subsequent years; (2) computation of share of opening retained earnings with non-controlling interests and; (3) computation of share of profit or loss with non-controlling interests.

In particular, many candidates were unable to adjust correctly the cost of Property, Plant, and Equipment (it should be adjusted upwards by HK\$200,000 from HK\$1,800,000 to HK\$2,000,000) and its accumulated depreciation (the balance of HK\$700,000 should be eliminated) due to the revaluation at the acquisition date. They were also unable to adjust the subsequent effects on depreciation correctly (depreciation expense and accumulated depreciation should be adjusted upwards by HK\$40,000 in each of the current and prior years).

Furthermore, many candidates failed to make proper adjustments for non-controlling interests, especially the upstream intra-group sales adjustment. They were unable to calculate correctly the unrealised profits under a basis of mark-up on cost.

Question 1(b) – 5 Marks

This question required candidates to briefly explain the enhancing qualitative characteristics and their relation to the fundamental qualitative characteristics in the *HKICPA Conceptual Framework for Financial Reporting 2018*.

The performance was unsatisfactory. Candidates were rather weak in the *Conceptual Framework*. Even though the question was straightforward, many candidates could not answer this question as they did not know these enhancing qualitative characteristics (i.e., Comparability, Verifiability, Timeliness, and Understandability). Many candidates did not know the enhancing characteristics are indeed complementary to the fundamental qualitative characteristics (Relevance and Faithful Representation) and make the financial information more useful.



Question 2 – 20 Marks

This question required candidates to prepare a statement of cash flows using **direct method**, with the provision of a statement of financial position and a statement of profit or loss and other comprehensive income.

The performance was less than satisfactory. While candidates were aware that cash flows from operating activities included those with customers, suppliers, and employees, some applied the wrong method (they used the indirect method for adjustments of items in the statement of profit or loss) when constructing the operating activities section. Many marks were lost due to the wrong application of method in the preparation of the cash flows.

Some candidates also had difficulties in the investing activities section. In particular, many candidates could not find out the cash proceeds from the sale of plant due to the complexities of new purchases (HK\$50,000) and depreciation (HK\$21,700) in the year.

In the financing activities section, some candidates missed out the cash proceeds from the long-term borrowings as the information was not explicitly given in the notes, but candidates were still required to analyse the information in the financial statements.

Question 3 – 10 Marks

This question required candidates to (1) explain whether the three subject events were adjusting or non-adjusting events and (2) state their accounting treatments accordingly. The performance was unsatisfactory. Candidates encountered difficulties in tackling HKAS 10 *Events after the Reporting Period*.

In general, candidates were able to point out properly the accounting treatments of adjusting events (to adjust amounts recognised in the financial statements) and non-adjusting events (to disclose if the amounts are material). However, they failed to analyse the scenarios in the questions correctly for classifying the events in the first place.

Many candidates were unable to differentiate adjusting events (events that provide evidence of conditions that existed at the end of the reporting period) from non-adjusting events (events that reflect circumstances that arose after the end of the reporting period). Candidates are suggested to refer to HKAS 10 (paragraph 9) for examples of adjusting events and HKAS 10 (paragraphs 11, 12, and 22) for examples of non-adjusting events. In particular, HKAS 10.9(b)(ii), 10.11, and 10.12 are related to this question.



Question 4(a) – 4 Marks

This question required candidates to determine the classification and carrying amount of two properties at the current year-end in accordance with HKAS 40 *Investment Properties*.

The performance was not satisfactory. Many candidates classified the two properties by their nature at the prior year end (1 April 2020). Candidates were not aware of a change of classification due to the reorganisation at the current year end (31 March 2021).

Question 4(b) – 6 Marks

This question required candidates to calculate and identify the nature of any income or expense to be recognised for the current year, in relation to the two properties.

The performance was unsatisfactory. Candidates, in general, could produce correct answers for the depreciation of Tower A (HK\$0.56 million for the year) and the fair value gain of Tower B (HK\$1.5 million for the year). However, many candidates could not come up with the revaluation gain (HK\$19.36 million) of Tower A when it was reclassified from owner-occupied property to investment property at the current year end.

Many candidates also failed to state clearly the nature of these income and expense items whether they should be recognised as an item in the profit or loss or in the other comprehensive income.

Question 5(a) – 5 Marks

This question required candidates to account for the bonds in accordance with HKFRS 9 *Financial Instruments*.

The performance was unsatisfactory. Some candidates were not aware that the bonds should be initially recognised at the amount of cash proceeds net of transaction costs (i.e., HK\$1,000,000 – HK\$51,500 = HK\$948,500). Many candidates failed to amortise this initial cost using the effective interest rate of 11.41% and prepare the journal entries properly.



Question 5(b) – 5 Marks

This question required candidates to account for the bonds in accordance with HKFRS 9 *Financial Instruments*, if the bonds were measured at fair value through profit or loss.

The performance was far less than satisfactory. Many candidates failed to apply the appropriate accounting treatments for this type of bond, even though the question was rather explicit that the bonds were to be measured at fair value with any differences in fair values going through the profit or loss account.

(III) Conclusion and Recommendation

Overall, the performance of the candidates was unsatisfactory for both Section A and Section B.

Candidates are advised to revisit the fundamental requirements of financial reporting standards that are commonly used in practice, on top of those that have become effective in recent years.

Candidates are advised to provide workings on calculations since partial marks may be given to correct workings even though the final answer is wrong.

Candidates are reminded to read the question carefully and apply the method as required in the question (e.g., whether they are required to use **direct** or **indirect** method in preparing the operating activities section of the statement of cash flows).

Candidates are reminded to make a reasonable attempt to answer each part of the questions.